

1.1 Enterprise and entrepreneurship

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Standalone past-paper question bank for this topic

Each question is fully self-contained: case-study extract + data tables + question text + mark scheme answer. Print and revise without needing the original papers.

- **Total questions:** 18
- **Total marks:** 56
- **Sub-topics covered:** 3

By series:

- **Specimen SAMs:** 3 questions
- **June 2019:** 1 question
- **Nov 2020:** 2 questions
- **Nov 2021:** 5 questions
- **June 2022:** 2 questions
- **June 2023:** 4 questions
- **June 2024:** 1 question

1.1.1 The dynamic nature of business (7 questions)

CASE STUDY EXTRACT

Extract B: Sally is a fitness instructor at a local sports centre (Figure 4). She is now considering setting up her own business as a personal trainer (Figure 5). Sally's research shows that people are more interested in health and fitness. Although there are a number of gyms in her local area, there are not many personal trainers. Sally has conducted some research into who her main competitors will be. A summary of the research is shown in Figure 6. Sally will charge £25 per hour. She is flexible in terms of the location of her customers and will travel within a 10-mile radius. She hopes to attract a younger market segment by using social media and online promotion. She aims to differentiate her service in a number of ways: Using social media to communicate directly with her customers, offering daily motivational reminders. Filming parts of the customer's training session and posting it online for them to evaluate their performance on their own device. Figure 6: Competitor 1: 'Vitality' personal instructor, £22 per hour, Strength: Experienced personal trainer with good local reputation, Weakness: Operates in only a small geographical area. Competitor 2: 'Bootcamp' personal trainer, £220 for an 11-session block, Strength: Ex-soldier using military training methods, Weakness: Limited number of training methods used. Sally is currently well paid and has saved up enough money to start up on her own. She is considering buying a franchise. There are a number of national franchise operators that she could use. However, she is concerned about the current economic climate. She has seen reports that unemployment is rising and that consumer incomes are falling.

DATA FOR QUESTION 7

Sally is considering whether or not to buy a franchise to start up on her own.

Evaluate whether Sally's business idea is likely to be a success. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: Entrepreneurs use market research to identify gaps in the market (AO1b). Some small businesses can suffer at times when consumer income is falling (AO1b). Sally has conducted some primary research into competitors in her local area (as evidenced in Figure 6) and identified a gap in the market identified for personal trainers (AO2). As unemployment is rising and consumer income is falling, Sally's potential customers are likely to spend less on fitness and other non-essential services (AO2). Sally plans to differentiate her business through the use of social media and technology. This will help her to create a USP which would appeal to younger market segments and help her business stand out from competitors (AO3a). Sally currently has the security of a well-paid job but if she did not get enough customers in the short term she may find that she does not have enough income. If she chooses to be a sole trader, unlimited liability will mean her personal possessions are at risk (AO3a). As there are just two main competitors in this market, Sally's business idea has a good chance of success. By creating a USP based around technology, she has a good opportunity to differentiate her business from rival personal trainers (AO3b). The success of the business idea depends on some factors that are beyond Sally's control. However, if Sally gains a reputation as an excellent personal trainer the degree to which these factors will reduce her success are limited (AO3b). Level 1 (1-4), Level 2 (5-8), Level 3 (9-12) descriptors apply.

DATA FOR QUESTION 3

Figure 1 shows the total costs for a business between May and July. May: £10,000; June: £13,000; July: £16,000.

Explain one reason why new business ideas come about.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. A new business idea may come about because consumers want something new (1). Existing products may not meet customer needs (1). This can lead to an entrepreneur spotting a new business opportunity in the market (1). A new business idea may come about because of changes in technology (1). This allows new products to be created (1). Entrepreneurs will therefore look to create demand for this new product (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 2

Table 1 shows the cash-flow forecast for a small business. May - Cash inflows: £12 600, Cash outflows: £8 200, Net cash flow: £4 400, Opening balance: £600, Closing balance: (i). June - Cash inflows: £13 400, Cash outflows: £9 100, Net cash flow: (ii), Opening balance: £5 000, Closing balance: £9 300.

Explain one reason why an entrepreneur may adapt an existing product to come up with a new business idea.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks.

The business already understands the market (1). Market research may have already been carried out for a previous product (1). This may lead to the business having a better understanding of customer needs (1).

It can reduce the development costs of creating a new product (1). This will reduce the need to obtain new sources of finance (1). Therefore, it may take less time to launch the new business idea (1).

Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour. Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from Sports Tours Ltd. In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams. Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities. (Source: adapted from <https://www.sports-tours.co.uk/about>)

DATA FOR QUESTION 6

In order to add value to its business activities Sports Tours Ltd is considering two options: Option 1: using professional sports venues for tournaments. Option 2: providing teams with top class coaching when on tour.

Justify which one of these two options Sports Tours Ltd should choose.

MARK SCHEME ANSWER

Indicative content: Using professional sports venues will give sports teams an experience they may not have had before (AO2). Sports teams will benefit from the extra knowledge and experience that top class coaching could provide (AO2). This will give the sports tours a USP and more attractive to teams who will be prepared to pay a premium price for playing at a professional stadium. This may be something that they could not organise themselves and will need Sports Tours Ltd to organise for them (AO3a). The extra service would allow the quality of the tours to be higher than if the teams just used their own coaches. It will also mean that any training sessions that take place would add to the experience of the tour (AO3a). However, it may be difficult to arrange to use these facilities and Sports Tours Ltd may not be able to provide the facilities as promised. The higher price of doing this may not be attractive to teams as changing consumer income has already affected demand (AO3b). However, the business offers tours for a wide range of sports and finding the right number of coaches could be difficult. Most sports teams would have their own coaches and may feel that this extra service is not worth the money (AO3b). Level 1 (1-3): Limited application; attempts to deconstruct; simple justification. Level 2 (4-6): Sound application; chains of reasoning; sound justification. Level 3 (7-9): Detailed application; logical chains of reasoning; clear justification based on thorough evaluation.

Explain one way a small business could add value to a product.

MARK SCHEME ANSWER

Award 1 mark for identification of a way of adding value, plus 2 further marks for explaining this way up to a total of 3 marks. One way that a business could add value is to improve the quality of its product (1). Customers would therefore be willing to pay a premium price for the product (1). This leads to a larger difference between the final price and costs of raw materials (1). A business could add value through developing a unique selling point (1). This will differentiate the product from its rivals (1). Therefore, customers will pay extra for the product as they feel the product is better than the competition (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20. February: 6,100 units; March: 7,200 units; April: 8,100 units.

Which one of the following could a small business use to add value? Select one answer.

- A. Locate in a convenient place
- B. Pay a higher rate of taxation
- C. Reduce its cash inflows
- D. Use a long-term source of finance

MARK SCHEME ANSWER

The only correct answer is A – Locate in a convenient place. B is not correct because it is not used to add value. C is not correct because it is not used to add value. D is not correct because it is not used to add value.

DATA FOR QUESTION 3

Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20. February: 6,100 units; March: 7,200 units; April: 8,100 units.

Discuss the impact on a small business from adapting existing products to develop new business ideas.

MARK SCHEME ANSWER

Indicative content: Adapting existing products can take less time and creative input than creating original ideas (AO1b). Adapting existing products may not be as innovative as creating original ideas (AO1b). New ideas can be brought to market ahead of competitor products and therefore provide a competitive advantage to a business (AO3a). Less innovative ideas may not fully meet changing customer needs. Therefore, customers may choose a new product from a competitor that has filled a gap in the market (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

1.1.2 Risk and reward (7 questions)

CASE STUDY EXTRACT

Extract B: Sally is a fitness instructor at a local sports centre (Figure 4). She is now considering setting up her own business as a personal trainer (Figure 5). Sally's research shows that people are more interested in health and fitness. Although there are a number of gyms in her local area, there are not many personal trainers. Sally has conducted some research into who her main competitors will be. A summary of the research is shown in Figure 6. Sally will charge £25 per hour. She is flexible in terms of the location of her customers and will travel within a 10-mile radius. She hopes to attract a younger market segment by using social media and online promotion. She aims to differentiate her service in a number of ways: Using social media to communicate directly with her customers, offering daily motivational reminders. Filming parts of the customer's training session and posting it online for them to evaluate their performance on their own device. Figure 6: Competitor 1: 'Vitality' personal instructor, £22 per hour, Strength: Experienced personal trainer with good local reputation, Weakness: Operates in only a small geographical area. Competitor 2: 'Bootcamp' personal trainer, £220 for an 11-session block, Strength: Ex-soldier using military training methods, Weakness: Limited number of training methods used. Sally is currently well paid and has saved up enough money to start up on her own. She is considering buying a franchise. There are a number of national franchise operators that she could use. However, she is concerned about the current economic climate. She has seen reports that unemployment is rising and that consumer incomes are falling.

DATA FOR QUESTION 7

Sally is considering whether or not to buy a franchise to start up on her own.

State one risk that Sally faces in starting this business.

MARK SCHEME ANSWER

Award 1 mark for stating one risk Sally will face when starting her business. Financial risks as she is giving up her current paid employment (1). Insecurity of sales due to falling consumer incomes (1). Accept any other appropriate response. Do not accept risks that would not be appropriate for a personal trainer business such as Sally's, for example not being able to source trade credit.

CASE STUDY EXTRACT

Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided Last Course Patisserie with a reputation for being flexible when meeting customer needs. Getting the best ingredients for the desserts is a vital part of the business. Last Course Patisserie found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed. Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. Last Course Patisserie is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for Last Course Patisserie to expand and possibly relocate to new premises.

DATA FOR QUESTION 4

Refers to Last Course Patisserie case study (private limited company in Devon producing hand-made desserts).

Outline one risk taken by the owners when starting Last Course Patisserie.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a suitable risk taken by the owners. Award a maximum of 1 mark if points are not linked. The owners risked a loss of security (1) as they previously had jobs in the food industry (1). The owners risked financial loss (1). There may not have been a demand for hand-made desserts (1). Do not accept a risk that would not be appropriate for the owners. For example, she risked losing her personal possessions.

Which one of the following is an example of a reward from business activity?

- A. Financial loss
- B. Increased overheads
- C. Independence
- D. Lack of security

MARK SCHEME ANSWER

The only correct answer is C - Independence. A is not correct because it is a risk from business activity. B is not correct because it is a risk from business activity. D is not correct because it is a risk from business activity.

Explain one way an entrepreneur can reduce the risk of failure when starting a new business.

MARK SCHEME ANSWER

Award 1 mark for identification of a way of reducing risk, plus 2 further marks for explaining this way up to a total of 3 marks.

One way that an entrepreneur could reduce risk is to carry out market research (1). Market research will allow the entrepreneur to understand the needs of the customer (1). Therefore, the entrepreneur can develop a product or service that customers want and are more likely to buy (1).

An entrepreneur could produce a cash-flow forecast (1). This will help to identify times when the business may experience a shortage of cash (1). Therefore, the entrepreneur can make plans to deal with these issues to help reduce the risk of insolvency (1).

Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

Explain one risk for an entrepreneur when starting a new business.

MARK SCHEME ANSWER

Award 1 mark for identification of a risk, plus 2 further marks for explaining this risk up to a total of 3 marks. An entrepreneur may take a financial risk when starting a business (1). This is because a new business will need financial investment to start up (1). If the business fails then the entrepreneur could lose this money (1). An entrepreneur may have to give up their job to start the business (1). This could lead to them losing regular income from wages/salary (1). This will lead to a lack of security in their lives (1). Accept any other appropriate response. Answers that list more than one risk with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Extract B: Ripple is an energy company aimed at providing green and renewable energy to homes and businesses across the UK. It is the country's first consumer-owned wind farm, generating green energy that does not have a damaging effect on the environment. Instead of customers paying Ripple to supply them with energy they become members of the business and buy a part of a wind farm located in a remote area of South Wales. Customers are then supplied with energy to their homes based on the amount of money they invested. The amount of money that customers can invest varies on their energy needs, but Ripple claims that it can supply energy cheaper than its competitors. The process of becoming a member is very simple. Firstly, Ripple will ask customers a few questions to identify their energy needs. It will then create a green energy plan to establish how much each customer should invest into the wind farm. Ripple manages the wind farm and provides energy to each customer's home or business. Ripple's business plan fits in with the UK government's cleaner energy strategy. This strategy includes plans for the country to have net zero carbon emissions by 2050 and to create 220,000 new jobs in the green energy sector of the economy.

DATA FOR QUESTION 7

Table 4 shows the percentage of different energy types used to produce electricity in the UK in 2018 and 2019. 2018: Gas 39.4%, Renewables 33.3%, Nuclear 19.5%, Coal 5.0%, Oil 2.8%. 2019: Gas 40.6%, Renewables 37.1%, Nuclear 17.3%, Coal 2.2%, Oil 2.8%.

State one example of a risk for an investor in Ripple.

MARK SCHEME ANSWER

Award one mark for stating one risk for investors in Ripple. Loss of money invested in the wind farm (1). Investors may not receive enough energy for home/business needs (1). Business may fail due to lack of demand for renewable energy (1). To award 1 mark there must be evidence of application.

CASE STUDY EXTRACT

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay Adikoggz to source and design a new pair of trainers to meet their needs. Adikoggz charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20. The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start Adikoggz and the business now receives orders from all over the world. Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of Adikoggz is the personalised service it offers and that every customer will receive a unique product at the end of the process.

Outline one possible risk to Keilan from setting up Adikoggz.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a risk of starting up Adikoggz. Award a maximum of 1 mark if points are not linked. Lack of security (1). This is because not enough people would have wanted to wear customised trainers (1). Keilan could have suffered financial loss (1). Any money invested in the business to buy cleaning equipment or stocks of new trainers could have been lost (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

1.1.3 The role of business enterprise (4 questions)

Which one of the following describes the role of an entrepreneur?

- A. Being employed by a large organisation
- B. A willingness to take risks
- C. Having sufficient money to start a new business
- D. Being able to work alone

MARK SCHEME ANSWER

B

CASE STUDY EXTRACT

That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli. The unique nature of That Feeling not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells That Feeling branded clothes and vintage glasses frames. When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated: 'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.' Justin now acts as a mentor to staff members at That Feeling by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business. (Source: adapted from <https://thatfeeling.co.uk/> and interview with Justin Carr 29/05/2019)

DATA FOR QUESTION 7

Figure 2 shows the age of entrepreneurs starting businesses in the UK since 2000. 16 to 34: 10%, 35 to 44: 25%, 45 to 54: 31%, 55 to 64: 26%, Over 65: 7%.

Using the information in Figure 2, identify what percentage of entrepreneurs were in the same age range as Justin when he started That Feeling.

MARK SCHEME ANSWER

10%

CASE STUDY EXTRACT

That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli. The unique nature of That Feeling not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells That Feeling branded clothes and vintage glasses frames. When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated: 'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.' Justin now acts as a mentor to staff members at That Feeling by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business. (Source: adapted from <https://thatfeeling.co.uk/> and interview with Justin Carr 29/05/2019)

DATA FOR QUESTION 7

Figure 2 shows the age of entrepreneurs starting businesses in the UK since 2000. 16 to 34: 10%, 35 to 44: 25%, 45 to 54: 31%, 55 to 64: 26%, Over 65: 7%.

Outline one benefit to employees at That Feeling from being mentored by Justin.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a benefit to employees at That Feeling. Award a maximum of 1 mark if points are not linked.

Employees will feel more valued (1). Therefore they will be happier in their jobs as barbers (1).

Employees will have more skills (1). Justin can pass his expertise on the best way to cut hair (1).

Do not accept a benefit that would not be appropriate for employees at That Feeling.

DATA FOR QUESTION 2

Table 1 contains information about a small business. Fixed costs: £10 000; Variable cost: £2.50 per unit; Selling price: £5.00 per unit; Break even level of output: 4,000 units. The business increases the selling price of its product to £6.50 per unit.

Which two of the following are roles of an entrepreneur? Select two answers.

- A. Going to university
- B. Organising resources
- C. Personal satisfaction
- D. Taking risks
- E. To be a sole trader

MARK SCHEME ANSWER

The only correct answers are B – Organising resources and D – Taking risks. A is not correct because it is not a role of an entrepreneur. C is not correct because it is a non-financial aim. E is not correct because it is a type of business ownership.